

Case Study 3: Big Problems in Big Government

A series of botched IT projects has left [UK] taxpayers with a bill of more than £26bn for computer systems that have suffered severe delays, run millions of pounds over budget or have been cancelled altogether.

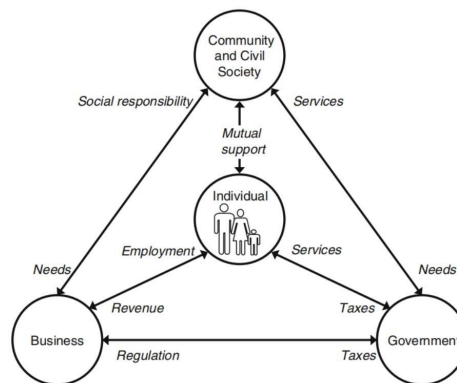
An investigation by The Independent has found that the total cost of labour's 10 most notorious IT failures is equivalent to more than half of the budget for Britain's schools last year. Parliament's spending watchdog has described the projects as "fundamentally flawed" and blamed ministers for "stupendous incompetence" in managing them.

Further evidence has emerged over the failings of labour's most costly programme, the mammoth £12.7bn IT scheme to revolutionise the NHS. The Independent has learnt that just 160 health organisations out of about 9,000 are using electronic patient records delivered under the scheme. The vast majority of those were GP practices. New figures have also revealed that millions of pounds have been paid out in legal fees. The taxpayer has footed a £39.2m bill for "legal and commercial support" for the National Programme for IT (NPfIT).

Alan Milburn, the former health secretary, said in 2001 that everyone would have access to their health records online by 2005, but it is understood that the Department for Health is still "years away" from fulfilling the pledge.

Guide Questions:

1. Analyze the failure of the NHS IT project. How can a 'developed' country, with more than 40 years' experience of public service information technology and information systems, get into such a managerial mess? What factors contributed to this massive failure?
2. Was politics the overriding consideration here, rather than operational efficiency, because individuals hoped to make their reputations and soar above the average? Why or why not?
3. Stakeholder groups in government projects include business, government, community, and individuals. How were different stakeholders affected by this failure? Who benefited? Who suffered?



4. What accountability mechanisms should exist for large public sector IT projects? The British Public Accounts Committee concluded this was "one of the worst projects in the history of public sector endeavor." Who should be responsible when such projects fail?
5. Applying the Think-Plan-Act-Check framework: At which stage(s) did the NHS project most clearly fail? What should have happened at each stage to prevent this outcome?

